Unit 6 - Price Determination under Perfect & Imperfect Competition

Introduction to Managerial Economics

- Understanding price determination is essential for business managers to make informed pricing and strategic decisions.
- Markets are classified into perfect competition and imperfect competition, each influencing pricing behavior differently.
- Perfect competition features numerous buyers and sellers, homogeneous products, and free market entry and exit, with price determined by supply and demand.
- Imperfect competition includes monopolies, monopolistic competition, and oligopolies, where firms can influence prices due to varying market characteristics.

Market and Market Structure

- Definition of Market
  - A market encompasses buyers and sellers of a commodity who interact for transactions, extending beyond a physical location.
  - Prof. Cournot's definition emphasizes market regions where prices equalize through buyer-seller interactions.
- Characteristics of Market Structure
  - Number and size distribution of sellers and buyers influence market dynamics.
  - Product differentiation and conditions of entry and exit are critical market features.
  - Market structures range from perfect competition to various forms of imperfect competition.

Perfect Competition

- Definition and Features
  - Perfect competition involves numerous sellers of homogeneous products, free entry and exit, and price-taking behavior from firms.
  - Individual firms cannot influence market price; they accept market price as given.
- Importance of Perfect Competition
  - Serves as a theoretical model against which other market forms are compared.
  - Helps understand resource allocation in an ideal market context.

Price-Output Determination Under Perfect Competition

- Market Price Determination
  - Price is established through the interaction of supply and demand.
  - Alfred Marshall compares supply and demand to scissor blades—both forces are equally important.
- Equilibrium Price and Output
  - Equilibrium occurs when quantity demanded equals quantity supplied, establishing market price.
  - Price adjustments restore equilibrium following shifts in demand and supply.

Equilibrium of the Industry and Firm Under Perfect Competition

- Short-Run Industry Equilibrium
  - Equilibrium occurs when all firms produce at an output level where marginal revenue equals marginal cost (MR = MC).
  - Firms can only adjust output in the short run, with fixed factors limiting capacity changes.

Short-Run Firm Equilibrium Under Perfect Competition

- A competitive firm reaches equilibrium when short-run marginal revenue equals marginal cost.
- Firms may earn supernormal, normal, or incur losses based on the relationship between average revenue and average costs.

Long-Run Industry Equilibrium Under Perfect Competition

- In the long run, firms adjust to ensure price equals marginal costs, leading to normal profits.
- Entry and exit of firms in response to profit signals establish long-run equilibrium.

Long-Run Firm Equilibrium Under Perfect Competition

- Firms maximize profits when price equals marginal cost and average revenue equals average cost, leading to normal profits.

Monopoly

- Definition and Features
  - Monopoly exists when a single seller dominates the market, controlling supply and price.
  - Monopolists are price makers who can set higher prices due to lack of substitutes.
- Price-Output Determination under Monopoly
  - Monopolists set prices based on marginal revenue and marginal cost, adjusting output to maximize profits.
  - Price discrimination may occur, charging different prices based on consumer segments.

Price Discrimination Under Monopoly

- Types of Price Discrimination
  - First Degree: Maximum price charged per consumer.
  - Second Degree: Different prices for different quantities.
  - Third Degree: Market segmentation based on price elasticity.
- Conditions for Price Discrimination
  - Existence of imperfect markets, different elasticity in demand, and prevention of resale.

Bilateral Monopoly

- Description of Bilateral Monopoly
  - A scenario where a single seller faces a single buyer, leading to unique pricing dynamics.
- Monopsony and Duopsony
  - Monopsony involves a single buyer controlling the market, while duopsony involves two dominant buyers.

Monopolistic Competition

- Characteristics of Monopolistic Competition
  - Numerous firms selling differentiated products that are close substitutes.
  - Firms have some monopolistic power, leading to non-price competition through marketing and branding.
- Price-Output Determination
  - Firms maximize profits where marginal revenue equals marginal cost, with potential for supernormal profits in the short run.

Oligopoly

- Key Features of Oligopoly
  - Few large firms dominate the market, with products that may be homogeneous or differentiated.
  - Interdependence among firms leads to strategic decision-making regarding pricing and output.
- Price-Output Determination Under Oligopoly
  - No single pricing strategy; firms may engage in collusive pricing or follow a price leader.

Collusive Oligopoly and Price Leadership

- Definition of Collusion
  - Firms cooperate to set prices and control market conditions, often leading to cartel formation.
- Price Leadership Dynamics
  - A dominant firm sets prices that other firms follow, maintaining market stability.

Summary

- Understanding market structures is crucial for analyzing firm behavior and performance.
- Price determination processes differ significantly between perfect competition, monopoly, and oligopoly.
- Each market structure has distinct features and implications for pricing and strategic business decisions.